



Be aware that you may not qualify for the low interest rates you see advertised. When you apply for refinancing, the lender will do a credit check, and if your credit isn't what it should be, you'll pay a higher rate.

The Time Frame Issue

The first question to ask yourself when you're thinking about refinancing is how long you expect to live in the house. If you plan to move within the next three years or so, you may not have enough time to recoup your closing costs. Assuming you'll be sticking around, the next thing you need to do is get a detailed, written estimate of your closing costs from the lender.

To figure out how long it will take you to pay off the cost of refinancing and really start saving money, deduct the new, lower monthly payment from your current payment to find your monthly savings. Multiply your monthly savings by your combined effective state and federal tax rate to get your tax cost and subtract this from your monthly savings. The reason for this adjustment to your savings is that your new loan with the lower payment reduces the tax benefit you had under the old loan. Now divide the total of all the fees and closing costs on the new mortgage by your net monthly savings after the tax adjustment. This is how many months it will take you to pay off the cost of refinancing.

For example, let's say that your closing costs are going to be \$3,000. Your current monthly payment is \$875 and your new payment is \$750, a monthly savings of \$125. If your combined effective state and federal tax rate is 20 percent, decreasing your interest payments by \$125 per month will increase your taxes \$25 per month ($\125×0.20), so your net savings are \$100 ($\$125 - \25). Your closing costs of \$3,000 divided by your monthly savings of \$100 equals thirty months, the time it would take to repay your closing costs and start saving money. Before you refinance, check with your lender and make sure there's not a prepayment penalty on your current mortgage. If there is, it may cost you more to refinance than it's worth.